

## Independent Contractor Services Agreement - Summary of Terms

Parties: **Desert Ridge Diesel & Fleet Service LLC** (18420 N Cave Creek Rd, Phoenix, AZ 85032; EIN 86-3719042) and **Diego Fuentes-Maró** (3142 E Roosevelt St, Apt 4, Phoenix, AZ 85008). Effective March 4, 2024. The Company classifies the worker as a 1099 independent contractor.

| Term            | Provision                                                                                |
|-----------------|------------------------------------------------------------------------------------------|
| Services        | Diesel diagnostics, repair, preventive maintenance at the Company's facility             |
| Schedule        | Monday-Friday 7:00 a.m.-3:30 p.m., set by the Company; foreman directs daily assignments |
| Tools/equipment | Provided by the Company (lifts, diagnostic computers, air tools); worker furnishes none  |
| Supervision     | Work assigned and reviewed by the shop foreman; methods not set independently            |
| Substitution    | Not permitted without Company approval; no subcontracting                                |
| Exclusivity     | No diesel work for others during scheduled hours                                         |
| Pay             | Flat \$1,461.54 per biweekly pay period by direct deposit; no invoices submitted         |
| Taxes withheld  | None (Company position: worker responsible for self-employment tax)                      |
| Benefits        | None (no health, paid leave, retirement, or workers' compensation)                       |

## Form W-9 on file and direct-deposit authorization

| Field                      | Value                                         |
|----------------------------|-----------------------------------------------|
| Name                       | Diego Fuentes-Maró                            |
| Federal tax classification | Individual / sole proprietor                  |
| Address                    | 3142 E Roosevelt St, Apt 4, Phoenix, AZ 85008 |
| TIN (SSN)                  | XXX-XX-4488                                   |
| Backup withholding         | Not subject                                   |
| Signature on file          | Diego Fuentes-Maró                            |
| Date signed                | 03/04/2024                                    |
| Deposit institution        | Saguaro State Credit Union                    |
| Deposit account            | ****8830                                      |
| Routing number             | 3222720XX                                     |
| Deposit frequency          | Biweekly                                      |

## Payroll-system pay register - 2025

| #  | Pay date   | Period start | Period end | Hours | Gross      | Fed W/H | State W/H | FICA W/H | Net        | YTD         |
|----|------------|--------------|------------|-------|------------|---------|-----------|----------|------------|-------------|
| 1  | 01/10/2025 | 01/03/2025   | 01/10/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$1,461.54  |
| 2  | 01/24/2025 | 01/17/2025   | 01/24/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$2,923.08  |
| 3  | 02/07/2025 | 01/31/2025   | 02/07/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$4,384.62  |
| 4  | 02/21/2025 | 02/14/2025   | 02/21/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$5,846.16  |
| 5  | 03/07/2025 | 02/28/2025   | 03/07/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$7,307.70  |
| 6  | 03/21/2025 | 03/14/2025   | 03/21/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$8,769.24  |
| 7  | 04/04/2025 | 03/28/2025   | 04/04/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$10,230.78 |
| 8  | 04/18/2025 | 04/11/2025   | 04/18/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$11,692.32 |
| 9  | 05/02/2025 | 04/25/2025   | 05/02/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$13,153.86 |
| 10 | 05/16/2025 | 05/09/2025   | 05/16/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$14,615.40 |
| 11 | 05/30/2025 | 05/23/2025   | 05/30/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$16,076.94 |
| 12 | 06/13/2025 | 06/06/2025   | 06/13/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$17,538.48 |
| 13 | 06/27/2025 | 06/20/2025   | 06/27/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$19,000.02 |
| 14 | 07/11/2025 | 07/04/2025   | 07/11/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$20,461.56 |
| 15 | 07/25/2025 | 07/18/2025   | 07/25/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$21,923.10 |
| 16 | 08/08/2025 | 08/01/2025   | 08/08/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$23,384.64 |
| 17 | 08/22/2025 | 08/15/2025   | 08/22/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$24,846.18 |
| 18 | 09/05/2025 | 08/29/2025   | 09/05/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$26,307.72 |
| 19 | 09/19/2025 | 09/12/2025   | 09/19/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$27,769.26 |
| 20 | 10/03/2025 | 09/26/2025   | 10/03/2025 | 80    | \$1,461.54 | \$0.00  | \$0.00    | \$0.00   | \$1,461.54 | \$29,230.80 |

## Payroll-system pay register - 2025 (continued)

| #  | Pay date   | Period start | Period end | Hours | Gross       | Fed W/H | State W/H | FICA W/H | Net         | YTD         |
|----|------------|--------------|------------|-------|-------------|---------|-----------|----------|-------------|-------------|
| 21 | 10/17/2025 | 10/10/2025   | 10/17/2025 | 80    | \$1,461.54  | \$0.00  | \$0.00    | \$0.00   | \$1,461.54  | \$30,692.34 |
| 22 | 10/31/2025 | 10/24/2025   | 10/31/2025 | 80    | \$1,461.54  | \$0.00  | \$0.00    | \$0.00   | \$1,461.54  | \$32,153.88 |
| 23 | 11/14/2025 | 11/07/2025   | 11/14/2025 | 80    | \$1,461.54  | \$0.00  | \$0.00    | \$0.00   | \$1,461.54  | \$33,615.42 |
| 24 | 11/28/2025 | 11/21/2025   | 11/28/2025 | 80    | \$1,461.54  | \$0.00  | \$0.00    | \$0.00   | \$1,461.54  | \$35,076.96 |
| 25 | 12/12/2025 | 12/05/2025   | 12/12/2025 | 80    | \$1,461.54  | \$0.00  | \$0.00    | \$0.00   | \$1,461.54  | \$36,538.50 |
| 26 | 12/26/2025 | 12/19/2025   | 12/26/2025 | 80    | \$1,461.50  | \$0.00  | \$0.00    | \$0.00   | \$1,461.50  | \$38,000.00 |
|    |            |              | TOTAL      | 2,080 | \$38,000.00 | \$0.00  | \$0.00    | \$0.00   | \$38,000.00 |             |

## Direct-deposit (ACH) confirmation log

| #  | Pay date   | ACH trace | Settlement | Amount     | Account  | Status  |
|----|------------|-----------|------------|------------|----------|---------|
| 1  | 01/10/2025 | ACH202501 | 01/10/2025 | \$1,461.54 | ****8830 | Settled |
| 2  | 01/24/2025 | ACH202502 | 01/24/2025 | \$1,461.54 | ****8830 | Settled |
| 3  | 02/07/2025 | ACH202503 | 02/07/2025 | \$1,461.54 | ****8830 | Settled |
| 4  | 02/21/2025 | ACH202504 | 02/21/2025 | \$1,461.54 | ****8830 | Settled |
| 5  | 03/07/2025 | ACH202505 | 03/07/2025 | \$1,461.54 | ****8830 | Settled |
| 6  | 03/21/2025 | ACH202506 | 03/21/2025 | \$1,461.54 | ****8830 | Settled |
| 7  | 04/04/2025 | ACH202507 | 04/04/2025 | \$1,461.54 | ****8830 | Settled |
| 8  | 04/18/2025 | ACH202508 | 04/18/2025 | \$1,461.54 | ****8830 | Settled |
| 9  | 05/02/2025 | ACH202509 | 05/02/2025 | \$1,461.54 | ****8830 | Settled |
| 10 | 05/16/2025 | ACH202510 | 05/16/2025 | \$1,461.54 | ****8830 | Settled |
| 11 | 05/30/2025 | ACH202511 | 05/30/2025 | \$1,461.54 | ****8830 | Settled |
| 12 | 06/13/2025 | ACH202512 | 06/13/2025 | \$1,461.54 | ****8830 | Settled |
| 13 | 06/27/2025 | ACH202513 | 06/27/2025 | \$1,461.54 | ****8830 | Settled |
| 14 | 07/11/2025 | ACH202514 | 07/11/2025 | \$1,461.54 | ****8830 | Settled |
| 15 | 07/25/2025 | ACH202515 | 07/25/2025 | \$1,461.54 | ****8830 | Settled |
| 16 | 08/08/2025 | ACH202516 | 08/08/2025 | \$1,461.54 | ****8830 | Settled |
| 17 | 08/22/2025 | ACH202517 | 08/22/2025 | \$1,461.54 | ****8830 | Settled |
| 18 | 09/05/2025 | ACH202518 | 09/05/2025 | \$1,461.54 | ****8830 | Settled |
| 19 | 09/19/2025 | ACH202519 | 09/19/2025 | \$1,461.54 | ****8830 | Settled |
| 20 | 10/03/2025 | ACH202520 | 10/03/2025 | \$1,461.54 | ****8830 | Settled |

## Direct-deposit (ACH) confirmation log (continued)

| #  | Pay date   | ACH trace | Settlement | Amount      | Account  | Status  |
|----|------------|-----------|------------|-------------|----------|---------|
| 21 | 10/17/2025 | ACH202521 | 10/17/2025 | \$1,461.54  | ****8830 | Settled |
| 22 | 10/31/2025 | ACH202522 | 10/31/2025 | \$1,461.54  | ****8830 | Settled |
| 23 | 11/14/2025 | ACH202523 | 11/14/2025 | \$1,461.54  | ****8830 | Settled |
| 24 | 11/28/2025 | ACH202524 | 11/28/2025 | \$1,461.54  | ****8830 | Settled |
| 25 | 12/12/2025 | ACH202525 | 12/12/2025 | \$1,461.54  | ****8830 | Settled |
| 26 | 12/26/2025 | ACH202526 | 12/26/2025 | \$1,461.50  | ****8830 | Settled |
|    |            |           | TOTAL      | \$38,000.00 |          |         |

## Monthly earnings summary - 2025

| Month        | Pays      | Gross              | Withheld      | Net                | Cumulative net     |
|--------------|-----------|--------------------|---------------|--------------------|--------------------|
| 2025-01      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$2,923.08         |
| 2025-02      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$5,846.16         |
| 2025-03      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$8,769.24         |
| 2025-04      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$11,692.32        |
| 2025-05      | 3         | \$4,384.62         | \$0.00        | \$4,384.62         | \$16,076.94        |
| 2025-06      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$19,000.02        |
| 2025-07      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$21,923.10        |
| 2025-08      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$24,846.18        |
| 2025-09      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$27,769.26        |
| 2025-10      | 3         | \$4,384.62         | \$0.00        | \$4,384.62         | \$32,153.88        |
| 2025-11      | 2         | \$2,923.08         | \$0.00        | \$2,923.08         | \$35,076.96        |
| 2025-12      | 2         | \$2,923.04         | \$0.00        | \$2,923.04         | \$38,000.00        |
| <b>TOTAL</b> | <b>26</b> | <b>\$38,000.00</b> | <b>\$0.00</b> | <b>\$38,000.00</b> | <b>\$38,000.00</b> |

## Quarterly earnings summary - 2025

| Quarter      | Pays      | Gross              | Withheld      | Net                |
|--------------|-----------|--------------------|---------------|--------------------|
| Q1           | 6         | \$8,769.24         | \$0.00        | \$8,769.24         |
| Q2           | 7         | \$10,230.78        | \$0.00        | \$10,230.78        |
| Q3           | 6         | \$8,769.24         | \$0.00        | \$8,769.24         |
| Q4           | 7         | \$10,230.74        | \$0.00        | \$10,230.74        |
| <b>TOTAL</b> | <b>26</b> | <b>\$38,000.00</b> | <b>\$0.00</b> | <b>\$38,000.00</b> |

### Value of benefits NOT provided (informational)

| Benefit (typical employee)     | Est. annual value | Provided to contractor |
|--------------------------------|-------------------|------------------------|
| Health insurance contribution  | \$4,800.00        | \$0.00                 |
| Paid time off (10 days)        | \$1,461.60        | \$0.00                 |
| Holiday pay (6 days)           | \$876.96          | \$0.00                 |
| Retirement match               | \$1,140.00        | \$0.00                 |
| Workers' compensation coverage | \$620.00          | \$0.00                 |
| Short-term disability          | \$240.00          | \$0.00                 |
| <b>Total</b>                   | <b>\$9,138.56</b> | <b>\$0.00</b>          |

### Year-over-year payments

| Year                | Gross paid  | Tax withheld |
|---------------------|-------------|--------------|
| 2024 (from 03/2024) | \$33,090.20 | \$0.00       |
| 2025                | \$38,000.00 | \$0.00       |



## Year-end reconciliation to Form 1099-NEC

| Line                             | Amount      |
|----------------------------------|-------------|
| Total gross paid (26 pays)       | \$38,000.00 |
| Less federal income tax withheld | \$0.00      |
| Less state income tax withheld   | \$0.00      |
| Less Social Security withheld    | \$0.00      |
| Less Medicare withheld           | \$0.00      |
| Net paid by direct deposit       | \$38,000.00 |
| Reported on Form 1099-NEC, Box 1 | \$38,000.00 |
| Reported in Box 4 (federal W/H)  | \$0.00      |

The total gross paid during 2025 (\$38,000.00) equals the amount reported in Box 1 of the Form 1099-NEC issued to the worker. No amounts were withheld.

## Pay and scheduled hours by month

| Month        | Pays      | Scheduled hrs | Gross              | Withheld      | Net                |
|--------------|-----------|---------------|--------------------|---------------|--------------------|
| 2025-01      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-02      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-03      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-04      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-05      | 3         | 240           | \$4,384.62         | \$0.00        | \$4,384.62         |
| 2025-06      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-07      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-08      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-09      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-10      | 3         | 240           | \$4,384.62         | \$0.00        | \$4,384.62         |
| 2025-11      | 2         | 160           | \$2,923.08         | \$0.00        | \$2,923.08         |
| 2025-12      | 2         | 160           | \$2,923.04         | \$0.00        | \$2,923.04         |
| <b>Total</b> | <b>26</b> | <b>2,080</b>  | <b>\$38,000.00</b> | <b>\$0.00</b> | <b>\$38,000.00</b> |

## Deposit confirmation summary by month

| Month        | ACH deposits | Total deposited    | Avg per deposit   |
|--------------|--------------|--------------------|-------------------|
| 2025-01      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-02      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-03      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-04      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-05      | 3            | \$4,384.62         | \$1,461.54        |
| 2025-06      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-07      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-08      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-09      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-10      | 3            | \$4,384.62         | \$1,461.54        |
| 2025-11      | 2            | \$2,923.08         | \$1,461.54        |
| 2025-12      | 2            | \$2,923.04         | \$1,461.52        |
| <b>Total</b> | <b>26</b>    | <b>\$38,000.00</b> | <b>\$1,461.54</b> |

**Withholding verification by quarter (all zero)**

| Quarter      | Gross              | Federal       | State         | Social Security | Medicare      | Net                |
|--------------|--------------------|---------------|---------------|-----------------|---------------|--------------------|
| Q1           | \$8,769.24         | \$0.00        | \$0.00        | \$0.00          | \$0.00        | \$8,769.24         |
| Q2           | \$10,230.78        | \$0.00        | \$0.00        | \$0.00          | \$0.00        | \$10,230.78        |
| Q3           | \$8,769.24         | \$0.00        | \$0.00        | \$0.00          | \$0.00        | \$8,769.24         |
| Q4           | \$10,230.74        | \$0.00        | \$0.00        | \$0.00          | \$0.00        | \$10,230.74        |
| <b>Total</b> | <b>\$38,000.00</b> | <b>\$0.00</b> | <b>\$0.00</b> | <b>\$0.00</b>   | <b>\$0.00</b> | <b>\$38,000.00</b> |

## Monthly earnings comparison 2024 vs 2025

| Month        | 2024 gross         | 2025 gross         | Change             |
|--------------|--------------------|--------------------|--------------------|
| January      | \$0.00             | \$2,923.08         | +\$2,923.08        |
| February     | \$0.00             | \$2,923.08         | +\$2,923.08        |
| March        | \$1,568.10         | \$2,923.08         | +\$1,354.98        |
| April        | \$3,502.46         | \$2,923.08         | -\$579.38          |
| May          | \$3,502.46         | \$4,384.62         | +\$882.16          |
| June         | \$3,502.46         | \$2,923.08         | -\$579.38          |
| July         | \$3,502.46         | \$2,923.08         | -\$579.38          |
| August       | \$3,502.46         | \$2,923.08         | -\$579.38          |
| September    | \$3,502.46         | \$2,923.08         | -\$579.38          |
| October      | \$3,502.46         | \$4,384.62         | +\$882.16          |
| November     | \$3,502.46         | \$2,923.08         | -\$579.38          |
| December     | \$3,502.42         | \$2,923.04         | -\$579.38          |
| <b>Total</b> | <b>\$33,090.20</b> | <b>\$38,000.00</b> | <b>+\$4,909.80</b> |